

ICAP Strategic Case Study

Summer 2026 - Predicted Paper 9

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Instructions to candidates

- This paper should be read together with the Pre-Exam Information for KMCH issued by ICAP for the Summer 2026 attempt.
- The appendices below provide new information only. They do not repeat the full pre-seen material. You are expected to use the relevant pre-seen facts when answering the requirements.
- Do not assume that the new information below is a complete analysis. You should interpret the information, apply relevant Business Management and Business Finance concepts, and make professional recommendations.
- Show all workings for numerical requirements. Marks will be awarded for calculations, interpretation, practical judgement and clear recommendations.
- Assume that all monetary amounts are in Pakistani Rupees (Rs.) million unless stated otherwise.

Additional information provided in this paper

- Appendix 1 - Email from the Finance Director on competitor disruption and innovation agenda
- Appendix 2 - Extracts from competitor updates and industry conversations
- Appendix 3 - Note on possible managed peer-to-peer rental platform
- Appendix 4 - Financial information for the peer-to-peer platform proposal
- Appendix 5 - System outage and operational continuity incident note
- Appendix 6 - Internal comments on innovation culture and management response
- Appendix 7 - Board governance and sustainability matters raised by the Company Secretary

Requirements

Question 1

(a) Using the pre-seen material and Appendices 1 and 2 of this paper, evaluate how competitor moves may affect KMCH's competitive position and recommend an appropriate competitive response using a relevant positioning framework such as Bowman's Strategic Clock and/or Porter's generic strategies. **(14 marks)**

(b) Evaluate whether KMCH should launch a managed peer-to-peer rental platform, partner with an existing platform, or avoid the model. Your answer should consider strategic fit, commercial attractiveness, risks, brand impact and implementation requirements. **(14 marks)**

(c) Recommend how KMCH should redesign its customer value proposition in response to app-based and peer-to-peer competition while protecting its premium brand. **(8 marks)**

Total Question 1: 36 marks

Question 2

(a) Using Appendix 4, evaluate the proposed managed peer-to-peer platform using break-even and NPV / contribution analysis, and comment on the reliability of the assumptions. **(15 marks)**

(b) Using Appendix 5 and the pre-seen information on KMCH's digital booking, telematics and customer verification processes, recommend a business continuity and disaster recovery plan for KMCH's app, telematics, payment and customer-verification systems. **(10 marks)**

(c) Advise how KMCH should manage the innovation process for new competitive-response products, including idea generation, screening, pilot testing, resource allocation, learning from failure and scaling decisions. **(10 marks)**

Total Question 2: 35 marks

Question 3

(a) Recommend how the Board should govern KMCH's innovation agenda, including oversight of peer-to-peer rentals, app-based products, data risks, investment approvals, risk appetite and post-implementation reviews. **(10 marks)**

(b) Advise on the sustainability, governance, ethical, customer-protection and regulatory issues that may arise if KMCH allows third-party vehicle owners to rent vehicles through its platform. **(9 marks)**

(c) Recommend how KMCH should adapt its Board composition, leadership style and organisational culture to respond effectively to competitive disruption and encourage responsible innovation. **(10 marks)**

Total Question 3: 29 marks

Grand total: 100 marks

Appendix 1 - Email from the Finance Director on competitor disruption and innovation agenda

To: Finance and business analyst

From: Finance Director

Subject: Board discussion on competitive disruption and innovation response

The Board has asked for a paper on how KMCH should respond to recent moves by competitors and platform-based entrants in the vehicle rental market. The Board does not want a theoretical discussion only. It wants analysis that uses the pre-seen material, especially the information on KMCH's existing business model, customer proposition, competitors, digital systems, fleet, regulation and people issues.

Several directors believe that KMCH's premium, asset-heavy model remains valid if service quality and reliability continue to improve. Others are concerned that competitors are using technology, lower-cost products and platform-style models to reduce the importance of traditional depots and owned fleets. Please ensure that your analysis considers both defensive and offensive responses. KMCH may need to protect its core premium business, but it may also need to experiment with new models. The Board has specifically asked that peer-to-peer rentals, platform reliability, innovation culture and governance should be addressed.

The appendices below contain raw information received from management. They should be interpreted together with the pre-seen material. Some information is incomplete and should not be treated as management's final recommendation.

Appendix 2 - Extracts from competitor updates and industry conversations

The Sales and Marketing team has circulated the following extracts from recent industry conversations, competitor announcements and customer feedback. The information has not been independently verified, but management believes that the themes are relevant for the upcoming strategy discussion.

A local app-based mobility company has started promoting “book in two minutes” city rentals in Karachi, Lahore and Islamabad. Its advertisement states that customers can collect vehicles from selected partner locations rather than traditional rental depots. It is offering weekend discounts, instant digital ID upload and limited free cancellation for early users.

A regional vehicle rental brand has introduced a subscription-style product for corporate employees. Customers pay a monthly charge for a vehicle category rather than a named vehicle. The package includes limited maintenance, insurance administration and vehicle replacement within 24 hours if the vehicle is unavailable due to breakdown.

Two international rental brands operating in Pakistan are promoting loyalty benefits, airport pick-up priority and app-based booking confirmation. Their pricing is not always lower than KMCH’s, but corporate customers have mentioned that the booking process feels more predictable and easier to track.

Some smaller operators are offering very low daily rates through social media groups and informal broker networks. Customers have complained that vehicle condition, documentation and deposit refund practices are inconsistent, but these operators are still attracting price-sensitive customers.

A start-up has approached several travel influencers to promote privately owned vehicles listed through its platform. The platform claims that vehicle owners can earn income from idle vehicles and that customers can obtain lower prices than from traditional rental companies. The platform does not yet have a large fleet, but its social media engagement is increasing.

Several corporate customers have told KMCH’s sales team that they are willing to pay a premium for reliability, documentation, clean vehicles, replacement support and centralised billing. However, they are less willing to accept slow booking confirmation, inflexible package design and unexplained price increases.

The Chair has asked management to avoid reacting emotionally to competitors. The Board wants a clear view of which competitor moves are genuine threats, which are temporary promotions, and which may create opportunities for KMCH to redesign its customer proposition.

Appendix 3 - Note on possible managed peer-to-peer rental platform

The IT Manager and Operations Director have jointly prepared a short note on a possible peer-to-peer rental pilot. The proposal is not yet approved.

Under the idea, selected private vehicle owners would list their cars on a KMCH-managed platform. KMCH would not own these vehicles. The company would verify owner identity, vehicle documentation, insurance, inspection history and vehicle condition before allowing the vehicle to appear on the platform. Customers would book through KMCH's app and pay through KMCH's payment gateway.

The platform would initially be restricted to Karachi and Lahore and to vehicles less than five years old. Premium vehicles and vehicles with unresolved accident history would not be accepted in the pilot. Management has also suggested that vehicles should carry visible KMCH-approved tags only during rental periods, not permanently.

KMCH would earn a commission from each booking. The vehicle owner would receive the remaining amount after deduction of platform commission, payment processing, customer support recoveries and any agreed insurance or inspection costs. Management is still discussing whether the customer should be clearly told at the time of booking that the vehicle is privately owned rather than KMCH-owned.

The Operations Director has raised concerns about handover quality, damage disputes, fines, traffic challans, accident claims, late returns and inconsistent vehicle cleanliness. The Sales and Marketing team believes the model may attract younger and price-sensitive customers who are currently not using KMCH. The Finance Director is concerned that the platform may cannibalise some of KMCH's owned-fleet rentals if pricing is not controlled.

The Legal and Compliance team has not yet concluded whether the model would require changes to customer contracts, insurance arrangements, sales tax treatment, vehicle-owner agreements and complaint procedures. The Board has requested a cautious recommendation before any pilot is approved.

Appendix 4 - Financial information for the peer-to-peer platform proposal

The Finance team has prepared the following initial estimates. The figures are deliberately preliminary and are based on a controlled three-year pilot. Ignore tax unless you consider it relevant to your qualitative comments.

Item	Year 1	Year 2	Year 3
Average active listed vehicles	280	520	720
Average booking days per active vehicle per month	8.0	9.0	10.0
Average customer price per booking day (Rs.)	7,500	8,200	8,700
KMCH platform commission on gross booking value	18%	18%	18%
Payment gateway and booking support cost per booking day (Rs.)	250	275	300
Customer dispute / compensation cost	1.5% of gross booking value	1.5% of gross booking value	1.5% of gross booking value
Incremental platform support, customer service and verification team cost	28.0	36.0	44.0
Digital marketing and owner/customer onboarding campaign	18.0	10.0	8.0
Expected contribution lost from KMCH-owned fleet due to cannibalisation	8.0	12.0	16.0

Additional information:

- Initial platform enhancement and cybersecurity configuration cost will be Rs. 72.0 million, payable immediately.
- Vehicle-owner verification and first inspection cost is expected to be Rs. 0.025 million per active listed vehicle in the year in which the vehicle first joins the platform. For simplicity, assume that all active listed vehicles in each year are new additions for the purpose of this first estimate.
- The Finance Director suggests using a 16% discount rate for this pilot because the model is less proven than KMCH's normal owned-fleet business.
- For a simple Year 1 break-even estimate, assume average Year 1 economics and fixed cash costs of Rs. 46.0 million before vehicle-owner verification cost. The Board wants to know the approximate number of active listed vehicles needed to break even in Year 1.
- Management has not yet quantified possible brand damage, insurance disputes or regulatory penalties. These matters should be considered qualitatively.

Appendix 5 - System outage and operational continuity incident note

During a recent long weekend, KMCH's booking app and payment gateway were unavailable for approximately six hours. The issue started on Friday evening when booking traffic increased sharply. The external payment gateway provider later reported that one of its service components had failed. KMCH's app remained visible to customers, but some customers could not complete payments or upload driving-licence documents.

Depot staff used manual spreadsheets and phone calls to confirm some bookings. However, not all depots followed the same process. A few customers arrived at depots with app confirmation screenshots but no payment record. Some vehicles were held for customers who later cancelled, while other customers complained that confirmed vehicles were not available at the promised time.

The IT Manager stated that the company's backup procedures were designed for short interruptions but had not been tested for a peak weekend incident. The Operations Director noted that depot staff were unsure when they could bypass digital licence verification, and customer-service agents did not have a standard script for explaining the issue.

Management estimates that the incident resulted in lost bookings of approximately Rs. 4.5 million and goodwill credits of approximately Rs. 1.2 million. The Board is more concerned about reputational impact than the immediate financial loss.

The Chair has asked for a business continuity plan that is practical for KMCH's size and business model. The Board does not want an expensive theoretical document that depot staff cannot follow.

Appendix 6 - Internal comments on innovation culture and management response

The HR team summarised comments from a management workshop held after the competitor updates were circulated. The comments below are not attributed to individual employees.

Several depot managers said that “every few months a new idea is announced but the existing problems remain unresolved”. They were concerned that peer-to-peer rentals would create customer complaints that depot teams would be expected to solve without extra resources.

Some younger managers argued that KMCH is too slow to experiment and that competitor apps are improving faster. They suggested that small pilots should be launched quickly, even if the first version is imperfect. The IT team said that new platform features are often requested without clear ownership, prioritisation or post-launch review. It also stated that business teams sometimes describe technology as the solution even where the real issue is process discipline or staff training.

The Sales and Marketing team believes KMCH should learn from competitors but not copy low-price models blindly. It suggested that KMCH should test new packages with selected customers, measure conversion rates and then decide whether to scale.

The Finance Director stated that innovation spending should be linked to measurable milestones, and that failed pilots should not automatically be treated as poor performance if management learns quickly and limits financial exposure.

The Chair asked whether the Board itself has enough digital, platform-business and customer-experience capability to challenge management properly.

Appendix 7 - Board governance and sustainability matters raised by the Company Secretary

The Company Secretary circulated the following note for the Board pack. The note is intended to raise matters for discussion and is not a legal opinion.

If KMCH launches a peer-to-peer rental platform, customers may not always understand the difference between KMCH-owned vehicles and vehicles owned by third parties. The customer contract, app interface and complaint process would need to be clear. The Board should decide whether the platform should use KMCH's main premium brand, a sub-brand, or a separate label.

Vehicle quality, age, emissions, roadworthiness, inspection evidence and accident history will need to be checked before listing. If the platform accepts lower-quality vehicles to achieve rapid scale, it may undermine KMCH's market positioning and increase safety risk.

There may be disputes over accidents, damage, fines, late returns, missing accessories, deposit deductions and customer refunds. The Company Secretary has asked management to clarify who will bear losses and how disputes will be resolved.

Customer data will be shared between KMCH, payment providers, vehicle owners, insurers and possibly inspection partners. The Board should ensure that customer consent, data retention and access rights are properly designed before launch.

The Board may need clearer innovation governance. Current capital approvals were designed mainly for fleet purchases and depot operations. Platform experiments may require smaller but faster approvals, with defined risk limits, data protection review, customer communication controls and post-implementation review.

The Chair has asked whether the Board should bring in additional digital-platform and customer-experience expertise, either through an adviser, a Board committee or future Board appointment.